

GENERAL CONDITIONS OF CONTRACT FOR INDIGENOUS SUPPLY

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1. GENERAL PROVISIONS

1.1 Definitions

In the Contract, unless the context otherwise requires, the following words and expressions shall have the meanings stated below.

Advance Payment means the amount set forth in Schedule 3 (Contract Price and Payment Terms), that is paid in advance by the Purchaser to the Supplier.

Advance Payment Security means a duly executed, irrevocable, unconditional, on-demand bank guarantee that is to be procured and maintained by the Supplier in accordance with Clause 4.3 (Supplier's Securities), as security for the Advance Payment.

Affiliate means, in relation to a person, a company or entity that directly or indirectly controls, or is controlled by, or is under common control with, that person. For the purposes of this definition, **control** shall mean:

- (a) ownership or control (whether directly or otherwise) of more than 50% or more of the equity share capital, voting capital or the like of the controlled entity; or
- (b) ownership of equity share capital, voting capital, or the like by contract or otherwise, conferring control of, power to control the composition of, or power to appoint, a majority of the members of the board of directors, board of management, or other equivalent or analogous body of the controlled entity.

Approvals means any authorisation, clearance, license, consent, no-objection certificate, exemption, privilege, approval, registration, permit, visa, waiver, acknowledgement, agreement, or concession required to be obtained from or provided by any Governmental Instrumentality relating to the Supply or to the performance by the Supplier of any obligations under the Contract.

Base Warranty has the meaning set forth in Clause 13.1 (Remedial Work).

Best Industry Practices means practices which are generally engaged in or observed in the industry in India, consistent with best practice for an experienced, prudent and competent Equipment manufacturer and supplier, and in accordance with the applicable Laws, Approvals, reliability, safety, environmental protection, economy and expediency.

Business Day means a day except a Saturday, Sunday, or a public holiday in India, on which the banking institutions remain open for business.

Clause means a clause of the General Conditions of Contract.

Commencement Date means the date on which the Supplier shall commence the Supply of the Equipment on the written instructions of the Purchaser, as contained in the Notice to Proceed.

Conditions of Contract means the General Conditions of Contract and the Particular Conditions of Contract.

Contract means, collectively, the Execution Cover, the Conditions of Contract, the Schedules, the Purchase Order and such other documents which are attached to or mentioned in the aforementioned documents.

Contract Date means the date of execution of the Contract, as mentioned in the Purchase Order.

Contract Price means the agreed amount stated in Schedule 3 (Contract Price and Payment Terms), to be paid to Supplier for the Supply of Equipment and performance of the Supplier's other obligations under the Contract and includes adjustments (if any) in accordance with the Contract.

Defect means any defect, failure, deficiency, imperfection or other fault in the Equipment supplied or any part thereof arising from or in connection with the design, engineering, manufacturing, workmanship or material, shortcoming in the Documents or the Supplier's Documents, or arising due to a breach of the Contract or the neglect or failure of the Supplier to comply with any of its obligations, express or implied, under the Contract. The term "Defective" shall be construed accordingly.

Delay Liquidated Damages means the liquidated damages payable by the Supplier to the Purchaser in an amount as specified in the Particular Conditions of Contract for every week of delay or part thereof which elapses between the Scheduled Delivery Date and the Delivery Date in respect of any Equipment.

Delay Liquidated Damages Cap means the maximum amount of Delay Liquidated Damages payable by the Supplier for delay in Supply of Equipment beyond the Scheduled Delivery Date, as specified in the Particular Conditions of Contract.

Delivery Date means with respect to any Equipment, the actual date of delivery of Equipment at the Delivery Location.

Delivery Location means the address or location specified in Schedule 2 (Delivery Schedule) for Supply of Equipment, Special Tools and Equipment and Consumables.

Delivery Programme means the updated schedule of the delivery of the Equipment to be submitted by the Supplier on a weekly basis in accordance with Clause 10.3 (Delivery Schedule and Delivery Programme), reflecting amongst other things, the actual progress of the supplies against the Delivery Schedule.

Delivery Schedule means delivery schedule set out in Schedule 2 (Delivery Schedule), in accordance with which the Supplier is required to Supply the Equipment, Special Tools, Equipment and Consumables.

Documents means all calculations, drawings, test reports and other documents of a technical nature supplied by the Supplier under the Contract as described in Clause 4.13 (Documents) and shall be considered as Project IP.

EPC Contract means the agreement executed between the Owner and the Purchaser in relation to the design, engineering, manufacture, procurement, construction, testing and commissioning of the Project.

Equipment means the equipment described in Schedule 1 (Purchaser's Requirements), including any software (embedded or otherwise).

Equipment and Consumables means, collectively, all equipment, tools, materials, machinery, apparatus, supplies, spare parts, consumable materials, and other items required for operation and maintenance of the Equipment and the performance of the operation and maintenance by the Purchaser, including the Spares Parts.

Extension of Time means adjustment to the Delivery Schedule and/or the Scheduled Delivery Date in accordance with Clause 10.4 (Extension or Acceleration of Scheduled Delivery Date).

Execution Cover means the cover signature document to this Contract, to which the Conditions of Contract are attached.

Final Material Acceptance Certificate means the final certificate issued to the Supplier by the Purchaser once the Supply of all the Equipment under the Contract has been completed.

Force Majeure has the meaning set forth in Clause 19 (Force Majeure).

General Conditions of Contract means the general provisions of Contract provided for in Clauses 1 – 22 herein.

Governmental Instrumentality means any national, state or local authority or their agencies or other political subdivision and instrumentalities, ministry or department or court or tribunal having jurisdiction over a Party or any component of Supply or the Project.

Insolvent means in respect of the Purchaser or the Supplier the occurrence of any of the following events:

- (a) the passing of a resolution for the bankruptcy, insolvency, receivership, administration, winding up, liquidation, or other similar proceeding relating to that Party;
- (b) the appointment of an administrator, receiver, trustee, liquidator, custodian, or similar person in any such proceeding referred to in (a); or
- (c) the making by a Governmental Instrumentality of an order of winding up or otherwise confirming the bankruptcy, insolvency, receivership, administration or liquidation of the party; or

Intellectual Property means copyright, database rights, all rights conferred under Laws, common law or in equity in relation to inventions, patents, trademarks, designs, confidential information, circuit layouts and all other rights resulting from intellectual activity in the industrial, commercial, scientific, literary or artistic fields, whether registered or unregistered and wherever existing in the world, including all applications, renewals, extensions and revivals of, and all rights to apply for, any of the foregoing rights and confidential trade secrets.

Latent Defect means any Defect in the Equipment which cannot be detected upon a visual inspection or testing of the Equipment based on the technology available for carrying out such tests.

Latent Defect Warranty has the meaning set forth in Clause 13.1 (Remedial Work).

Laws means all national or state legislation, statutes, ordinances and other laws, regulations and by-laws, notification or code, treaty or any interpretation of any of them by any Governmental Instrumentality and shall further include without limitation all applicable rules, regulations, orders, notifications, directives, decrees and judgements by such Governmental Instrumentality pursuant to or under any of them.

Lenders means, collectively, all of the persons providing financing under for the Project to the Owner, and their permitted successors and assigns, including any agent or trustee for such person.

Material Acceptance Certificate means the certificate issued by the Purchaser in accordance with Clause 8.3 (Inspection at Site), specifying the date of delivery of each lot Equipment and other particulars related to the delivery.

Material Dispatch Clearance Certificate means the material delivery commencement certificate issued by the Purchaser, pursuant to Clause 8 (Inspection and Testing).

Notice to Proceed or NTP means a notice issued by the Purchaser instructing the Supplier to commence Supply of Equipment in terms of the Contract.

Overall Warranty Period means the period specified in the Particular Conditions of Contract.

Owner means the entity named as the owner of the Project and shall include its successors in title and assigns.

Owner's Engineer means any independent consulting engineer employed from time to time by the Owner to act on behalf of the Owner, as set out in Clause 3.2 (Owner's Engineer).

O&M Manuals means the operation and maintenance manuals in respect of the Equipment prepared by the Supplier and submitted to the Purchaser in accordance with Clause 4.11 (Special Tools, Equipment and Consumables and O&M Manual).

Particular Conditions of Contract means the specific conditions set forth below the General Conditions of Contract.

Parties means the Supplier and the Purchaser, and, **Party** means any one of the Parties.

Payment Schedule mean the schedule for payment of Contract Price as specified in Schedule 3 (Contract Price and Payment Terms).

Performance Certificate means the certificate issued under Clause 13.8 (Performance Certificate).

Performance Guarantees means the performance guarantees to be achieved by the Equipment as specified in Schedule 4 (Performance Guarantees & Performance Liquidated Damages).

Performance Liquidated Damages means the liquidated damages payable by the Supplier to the Purchaser in an amount specified in Schedule 4 (Performance Guarantees & Performance Liquidated Damages) for a shortfall in the Performance Guarantees.

Performance Security means a duly executed, irrevocable, unconditional, on-demand bank guarantee for the sum specified in Schedule 3 (Contract Price and Payment Terms) that is to be submitted and maintained by the Supplier in accordance with Clause 4.3 (Supplier's Securities).

Project or Project Facility shall have the meaning ascribed to it in the Particular Conditions of Contract.

Project IP means all Intellectual Property arising out of or created by the Supplier or a Sub-supplier in carrying out the Supply and performing its obligations under the Contract, including Intellectual Property subsisting in all the Documents, but does not include the Supplier's Intellectual Property or the Purchaser's Intellectual Property.

Purchase Order means the order executed by the Purchaser in favour of the Supplier for the provision of Supply, pursuant to this Contract.

Purchaser means the Sterling and Wilson entity named in the Purchase Order and shall include its legal successors in title and assigns.

Purchaser's Intellectual Property means Intellectual Property in Purchaser's Requirements, Purchaser-Supplied Information or any other Intellectual Property owned by or licensed to the Purchaser (including know-how and technical information) but does not include the Supplier's Intellectual Property or Project IP.

Purchaser's Personnel means the Purchaser's Representative, the assistants and all other staff, labour and other employees of the Purchaser and of the Purchaser's Representative; and any other personnel notified to the Supplier, by the Purchaser or the Purchaser's Representative, as the Purchaser's Personnel.

Purchaser's Representative means the person appointed from time to time by the Purchaser to act on behalf of the Purchaser in accordance with Clause 3.1 (The Purchaser's Representative).

Purchaser's Requirements means the document attached hereto as Schedule 1 (Purchaser's Requirements), which specifies the purpose, scope, design requirements and/or other technical criteria for the Equipment, and any additions and modifications to such requirements in accordance with the Contract.

Purchaser-Supplied Information means any information, reports, and other documents (if any), in relation to the Equipment, Project and the Site Conditions supplied by the Purchaser to the Supplier prior to the Contract Date.

Refresh Warranty Period means in respect of any Equipment or part thereof remedied by the Supplier during the Warranty Period, a further warranty for a period set out in the Particular Conditions of Contract.

Remedial Work means the remedial work described in Clause 13.1 (Remedial Work).

Schedule means a schedule appended to the Conditions of Contract.

Scheduled Delivery Date means, with respect to any Equipment, the date (specified in the Delivery Schedule) on which such Equipment is to be Supplied by the Supplier to the Purchaser at the Delivery Location in accordance with the terms of the Contract.

Serial Defect means a Defect which manifests itself in such number of [modules, inverters, batteries or other components of the Equipment], as specified in the Particular Conditions of Contract.

Serial Defect Warranty has the meaning set forth in Clause 13.1 (Remedial Work).

Site means the places where the Project is to be executed as described in Schedule 1 (Purchaser's Requirements), and any other places as may be specified in the Contract as forming part of the Site.

Site Conditions means the site conditions in relation to the Site including:

- (a) the general and local environmental conditions, meteorological conditions, seismic activity and climatic conditions;
- (b) availability and quality of all necessary utilities and availability and condition of roads;
- (c) availability of labour resources;
- (d) physical conditions where the Supply is to be made, and the Equipment are to be used and the surrounding area as a whole; and

- (e) topography and ground surface conditions, subsurface geology and conditions, nature and quantity of surface and subsurface materials to be encountered, location of underground utilities and the condition of existing structures.

Spare Parts means the spare parts listed in Schedule 1 (Purchaser's Requirements).

Special Tools means the special tools listed in Schedule 1 (Purchaser's Requirements).

Sub-supplier means any person or company to whom the Supplier has subcontracted any of its obligations under the Contract in accordance with Clause 4.5 (Appointment of Sub-suppliers) and the Sub-supplier's legal successors in title but not any assignee of the Sub-supplier.

Supplier means the person named as supplier in the Purchase Order and shall include its legal successor in title and permitted assigns.

Supplier's Intellectual Property has the meaning given in Clause 6.1 (Purchaser's Use of the Supplier's Intellectual Property).

Supplier's Equipment means all equipment, materials, supplies, appliances, apparatus, devices, parts, special tools, computer hardware and software, vehicles and other items or things of whatever nature brought onto the Site by the Supplier for carrying out any obligations under the Contract, but excluding the Equipment or things intended to form or forming part of the Project.

Supplier's Personnel means the Supplier's Representative and all other personnel whom the Supplier utilises on the Site, who may include the staff, labour and other employees of the Supplier and of each Sub-supplier, and any other personnel assisting the Supplier in the performance of its obligations under the Contract.

Supplier's Representative means the person appointed from time to time by the Supplier to act on behalf of the Supplier in accordance with Clause 4.4 (The Supplier's Representative).

Supplier's Securities means collectively, the Advance Payment Security and Performance Security, and **the Supplier's Security** means any one of them.

Supply means the [design, engineering, manufacture,] procurement, inspection, testing, packing, loading, shipping, transportation, delivery by the Supplier of the Equipment to the Delivery Location. The term "**Supplied**" or any grammatical variations shall be constructed accordingly.

Taking Over Certificate means the certificate issued under Clause 12 (Tests on Completion and Taking Over).

Taxes means all forms of statutory, national, state, provincial, local governmental or municipal taxes, impositions, cess, tariff, duties (including stamp and transactions duties), levies (including any anti-dumping duties or levies) and all penalties, charges, costs and interest relating thereto, charged, imposed or levied by a Governmental Instrumentality.

Tests on Completion means the pre-commissioning tests and commissioning tests which are to be carried out on the Equipment as set out in Schedule 5 (Quality Assurance Procedure and Testing) before the Equipment is taken over by the Purchaser, which will include tests to determine whether the Performance Guarantees have been met.

Third Parties means the Owner, Lenders, technical consultant of Owner & Lender, third party inspectors, government employees of the off-takers or any other Government Instrumentality, any other agency as required by the Owner / Lender, as per the requirement of the Project.

Variation means any change to the Purchaser's Requirements or the Equipment, which is instructed or approved as a variation under Clause 14 (Variations and Adjustments).

Warranty Period means with respect to the Base Warranty, Latent Defects Warranty and Serial Defects Warranty (if applicable), the period specified in the Particular Conditions of Contract, as may be extended in accordance with Clause 13.3 (Extension of Warranty Period).

1.2 Interpretation

In the Contract, except where the context requires otherwise:

- (a) Words importing persons or parties shall include firms, corporations, partnerships, companies, joint ventures, trusts, associations, organisations, government entities and other entities and a person shall be construed as including a reference to its successors, permitted assigns and permitted transferees in accordance with their respective interests.
- (b) Words importing the singular only also include the plural and vice versa and words importing the masculine only also include the feminine and neuter and vice versa.
- (c) Words preceding the words "including", "includes", "include" or "included" shall be construed without limitation by the words which follow those terms, whether or not followed by phrases of like import.
- (d) Where any word or expression is given a defined meaning, any other grammatical form of that word or expression shall have the corresponding meaning, where the context requires.
- (e) The headings and sub-headings in the Contract (and references to them) are included for convenience only and shall not be taken into account in interpreting the Contract.
- (f) The references to any contract or deed or other instrument shall be construed as a reference to such contract, deed, or other instrument as the same may, from time to time, be amended, varied, supplemented or novated.
- (g) Any reference to a Law shall include such provision as is from time to time modified, re-enacted, or consolidated, so far as such modification, re-enactment or consolidation applies or is capable of applying to any transactions entered into hereunder.
- (h) The interpretation of a provision of the Contract shall not be construed adversely against a Party solely because that Party drafted the provision.
- (i) Where the due date for any payment to be made by a Party under the Contract falls on a day which is not a Business Day, the due date for making such payment shall be extended to the next Business Day.

1.3 Not Used

1.4 Law and Language

The Contract and any dispute, controversy, proceedings or claim of whatever nature arising out of or in any way relating to this Contract or its formation (including any non-contractual disputes or claims) shall be governed by and construed in accordance with Indian Laws.

1.5 Priority of Documents

- (a) The documents forming the Contract are to be taken as mutually explanatory of one another. In the event of any inconsistency, ambiguity or discrepancy in the documents forming the Contract and for the purposes of interpretation, the priority of the documents shall be in accordance with the following sequence:
 - (i) Particular Conditions of Contract.
 - (ii) Purchaser's Requirements.
 - (iii) other Schedules attached to the Conditions of Contract.
 - (iv) General Conditions of Contract.
 - (v) Purchase Order.
 - (vi) Execution Cover.

1.6 Assignment and Novation

- (a) The Purchaser shall be fully entitled, without the consent of the Supplier but upon prior written intimation, to assign, novate or transfer the whole or any part of the Contract or its rights and/or obligations under the Contract to an Affiliate, the Owner or the Lenders (including any security or facility agent, or any nominee on behalf of the Lenders). Except as mentioned above, the Purchaser shall not transfer its rights and obligations under the Contract, without the prior written approval of the Supplier, which shall not be unreasonably conditioned, delayed or withheld. The Supplier shall execute at the Purchaser's request a novation agreement or any other document required under applicable Laws to perfect the novation pursuant to this clause.
- (b) The Supplier shall not assign or transfer the whole or any part of the Contract or the right and/or obligations under the Contract without first obtaining the Purchaser's written consent. Any assignment or transfer of the Contract, or any subcontracting of the Supply or part thereof by the Supplier in accordance with the Contract shall not relieve or absolve the Supplier from any of its obligations and liabilities under the Contract.
- (c) The warranties / warranty certificates provided by the Supplier shall be freely assignable by the Purchaser to the Affiliate, Owner or Lenders or any subsequent owner of the Project, as the case may be. However, at no juncture shall more than one party be able to enforce the terms of these warranties. Except as mentioned above, the Purchaser shall assign any warranties to any third-party subject to prior written approval of the Supplier, which shall not be unreasonably conditioned, delayed or withheld.

1.7 Collateral Warranty

- (a) The Supplier shall procure, in the form approved by the Purchaser, a collateral warranty from the manufacturers of the Equipment stating that the warranties are for the benefit of the Purchaser and shall be honoured by the Equipment manufacturer (the "**Collateral Warranty**") and shall deliver such executed Collateral Warranties to the Purchaser within seven (7) Business Days from the Contract Date.
- (b) The Collateral Warranties shall survive all Third-Party monitoring, inspections and tests (assuming such tests are non-destructive) and shall be freely assignable by the Purchaser to an Affiliate, the Owner, Lenders or their nominees or any subsequent owner of the Project.

[This Clause is applicable in case the Supplier is not the original Equipment manufacturer.]

1.8 Care and Supply of Documents

- (a) Each of the Documents shall be in the custody and care of the Supplier, unless and until taken over by the Purchaser. Unless otherwise stated in the Contract, the Supplier shall submit to the Purchaser an electronic copy of each of the Documents. However, the Purchaser may request the Supplier to provide hard copies of certain Documents, and such documents shall be provided by the Supplier at no additional cost to Purchaser.
- (b) If a Party becomes aware of an error or defect of a technical nature in a document which was prepared for use in executing the Project, including with respect to the Purchaser's Requirements for the Equipment, the Party shall promptly give notice to the other Party of such error or defect.

1.9 Confidentiality

- (a) Each Party undertakes to the other Party to keep confidential all information (written or oral) concerning the business and affairs of the other Party which it has obtained or received as a result of discussions leading up to entry into the Contract, or which it has obtained during the course of the Contract, except any information that is:
 - (i) subject to an obligation to disclose under Law, or that is required to be disclosed pursuant to any order of a competent Governmental Instrumentality;
 - (ii) already in its possession other than as a result of a breach of this Clause 1.9 (Confidentiality);
 - (iii) in the public domain other than as a result of a breach of this Clause 1.9 (Confidentiality),

- (iv) disclosed to either Party's employees or Sub-suppliers to the extent necessary for such Party to perform its obligations under the Contract or to the Purchaser's employees and other contractors to the extent necessary for the Purchaser to perform its obligations under the EPC Contract;
 - (v) required to be disclosed in or pursuant to an offering statement provided to potential investors in the Purchaser; or
 - (vi) necessary to be disclosed by the Purchaser to the Third Parties pursuant to the EPC Contract.
- (b) Each Party undertakes to the other Party to take all steps that are necessary from time to time to ensure compliance with the provisions of this Clause 1.9 (Confidentiality) by its employees, agents and Sub-suppliers. Prior to disclosing any information referred to in this Clause 1.9 (Confidentiality) in accordance with the exception granted in Clause 1.9 (a)(i) (Confidentiality), the disclosing Party shall notify and provide the other Party an opportunity to comment on the information in and manner of such disclosure. Neither Party may use the information referred to in this Clause 1.9 (Confidentiality) for its own business purpose (other than performance of its obligations under the Contract) or disclose any information referred to in but not subject to any exception under this Clause 1.9 (Confidentiality) without the prior written approval of the other Party.
- (c) Neither Party, nor any of their employees, agents or advisors shall make any public announcement of any kind regarding the existence or terms of the Contract without the prior written consent of the other Party.

1.10 Not Used

1.11 Compliance with Laws

The Supplier shall comply with all applicable Laws, including those relating to labour, health and safety, and the environment, and shall give all notices, pay all taxes, duties and fees and obtain and maintain all Approvals referred to in Clause 4.2 (Permits, Licences or Approvals), in each case as required by the Laws and in relation to the Supplier's obligations under the Contract and hold the Purchaser harmless against and from the consequences of any failure to do so.

1.12 Anticorruption, Anti Bribery

The Supplier agrees to comply with the provisions of Schedule 9 (Code of Conduct) and acknowledges that Purchaser shall have the right to terminate the Contract, without any liability to the Purchaser, if Purchaser has reasonable grounds to believe that the Supplier has directly or indirectly breached any of the provisions of Schedule 9 (Code of Conduct).

1.13 Severability

The provisions contained in each Clause of the Contract shall be enforceable independently of each of the others and their validity shall not be affected if any of the others are invalid.

1.14 Non-Waiver

Any rights and remedies provided for in the Contract whether in favour of the Supplier or the Purchaser are cumulative and in addition to any further rights or remedies which may otherwise be available to the Parties. Unless specifically stated in the Contract, any failure by either Party to enforce such rights or remedies shall not be a waiver of such rights or remedies. Any approval given by the Purchaser shall not in any way either reduce, or relieve the Supplier of, its obligations under the Contract.

1.15 Amendments

No amendment or addition to the Contract shall be binding on the Parties unless it is in writing and signed on behalf of each of the Parties.

1.16 Entire Agreement

The Contract constitutes the entire agreement and understanding between the Parties and any and all previous understandings, proposals, negotiations, agreements, commitments and representations, whether oral or written in respect of the subject matter herein or the transactions contemplated herein are hereby superseded by the Contract.

1.17 Partnership

Nothing contained in the Contract shall constitute or be deemed to constitute a partnership between the Parties, and no Party shall hold itself out as an agent for the other, except with the express prior written consent of such other Party.

2. THE PURCHASER

2.1 Right of Access to the Site

Upon the Commencement Date, the Purchaser shall give the Supplier non-exclusive right of access to as much of the Site as is necessary for the Supply of the Equipment, delivery of the Special Tools, Equipment and Consumables and performance of its other obligations under the Contract. The Supplier acknowledges and agrees that such right and possession may not be exclusive to the Supplier and will be subject to the terms of any relevant Approvals.

3. THE PURCHASER'S ADMINISTRATION

3.1 The Purchaser's Representative

- (a) The Purchaser may appoint the Purchaser's Representative to act on its behalf under the Contract.
- (b) The Purchaser's Representative shall carry out the duties assigned to him, and shall exercise the authority delegated to him, by the Purchaser. Unless and until the Purchaser notifies the Supplier otherwise, the Purchaser's Representative shall be deemed to have the full authority of the Purchaser under the Contract, except in respect of Clause 16 (Termination by the Purchaser).

3.2 Owner's Engineer

- (a) The Supplier acknowledges and accepts that the Owner shall be entitled to appoint the Owner's Engineer to act on behalf of the Owner, if required under the Contract.
- (b) The Supplier shall co-operate with and assist the Owner's Engineer and provide all information to the Owner's Engineer as required from time to time.

4. THE SUPPLIER

4.1 The Supplier's General Obligations

- (a) The Supplier shall Supply to the Purchaser, at the Delivery Location, Equipment as per the Purchaser's Requirements and in accordance with the Delivery Schedule and shall remedy any Defects in each case in accordance with the terms of the Contract, applicable Laws and Best Industry Practices. Further, the Supplier shall be responsible for the provision of all work and supply of all plant, equipment and materials not specifically mentioned in the Contract but which can be reasonably inferred from the Contract as being required for the proper execution and performance of the Supplier's obligations under the Contract. [The Supplier shall also provide supervisory services at the Site during the installation of the Equipment by Purchaser or a third party engaged by the Purchaser].
- (b) All Equipment shall be new and unused and shall be fit for the purposes for which the Equipment are intended as defined in the Contract or, where no such purpose is defined, fit for its ordinary purpose.
- (c) The Supplier shall provide all the Equipment, Documents and the Supplier's Documents specified in the Contract, and all the Supplier's Personnel, Supplier's Equipment and other things and services, whether of a temporary or permanent nature, required in and for Supply of the Equipment and remedying of Defects.

- (d) The Supplier shall be responsible for the adequacy, stability and safety of all Supply operations conducted on the Site. The Supplier shall, whenever required by the Purchaser, submit details of the arrangements and methods which the Supplier proposes to adopt for the execution of its Supply obligations under the Contract. No significant alteration to these arrangements and methods shall be made without this having previously been notified to the Purchaser. Further, the Supplier shall inform the Purchaser of any alteration to the arrangements and methods and on the Purchaser granting consent, the Supplier will undertake all necessary remedial work in relation to any deviation from the agreed arrangements and methods, in a prompt and diligent manner as soon as possible after being made aware or becoming aware of such deviation.

4.2 Permits, Licences and Approvals

- (a) It is the Supplier's responsibility to acquire and maintain all Approvals (including those required under the applicable labour Laws) which are necessary for the performance of its obligations under the Contract.
- (b) All Approvals obtained by the Supplier in accordance with Clause 4.2 (Permits, Licences or Approvals) must, to the extent necessary and permitted by Law, be transferred to the Purchaser.

4.3 Supplier's Securities

(a) Advance Payment Security

Unless and until the Advance Payment is stated in Schedule 3 (Contract Price and Payment Terms), this Clause 4.3 (a) shall not apply.

- (i) The Supplier shall, as a condition precedent to the Purchaser making any payments to the Supplier, furnish to the Purchaser within such time as may be specified in Schedule 3 (Contract Price and Payment Terms), an Advance Payment Security for a sum equal to the Advance Payment received by the Supplier under the Contract.
- (ii) The Supplier shall ensure that the Advance Payment Security is valid and enforceable until the Advance Payment has been repaid, but its amount may be progressively reduced by the amount repaid by the Supplier as certified by the Purchaser. If the terms of the Advance Payment Security specify its expiry date, and the Advance Payment has not been repaid by the date 28 days prior to the expiry date, the Supplier shall extend the validity of the guarantee until the Advance Payment has been repaid.
- (iii) The Purchaser shall be entitled to make a claim under the Advance Payment Security in the following cases:
 - I. failure by the Supplier to extend the validity of the Advance Payment Security as described in the preceding paragraph;
 - II. failure by the Supplier to repay the Advance Payment in full, until the expiry date of such Advance Payment Security;
 - III. circumstances which entitle the Purchaser to termination under Clause 16.2 (Termination by Purchaser) and the Advance Payment is not repaid till such date, irrespective of whether notice of termination has been given.

(b) Performance Security

- (i) The Supplier shall, within such time as may be specified in Schedule 3 (Contract Price and Payment Terms), furnish to the Purchaser the Performance Security in accordance with the provisions of the Contract, as security for timely completion of Supply and performance of all obligations under the Contract till the expiry of the Warranty Period. Unless and until the Purchaser receives the Performance Security and Advance Payment Security (if applicable) from the Supplier, the Purchaser shall not be liable to make any payments to the Supplier under this Contract.
- (ii) The Supplier shall ensure that the Performance Security is valid and enforceable until the Supplier has executed and completed the Supply and remedied all Defects till the end of the time specified in Schedule 3 (Contract Price and Payment Terms). If the terms of the Performance Security specify its expiry date, and the

Supplier has not become entitled to receive the Performance Certificate by the date 28 days prior to the expiry date, the Supplier shall extend the validity of the Performance Security until completion of all obligation necessary for issuance of Performance Certificate.

- (iii) The Purchaser shall be entitled to make a claim under the Performance Security in the following events:
 - I. failure by the Supplier to extend the validity of the Performance Security as described in the preceding paragraph, in which event the Purchaser may claim the full amount of the Performance Security;
 - II. failure by the Supplier to pay the Purchaser an amount due;
 - III. failure by the Supplier to remedy a default, or
 - IV. circumstances which entitle the Purchaser to termination under Clause 16.2 (Termination by Purchaser), irrespective of whether notice of termination has been given.
- (c) The Supplier's Securities shall be issued by a bank approved by the Purchaser, in the form and manner set out in Schedule 7 (Form of Advance Payment Security and Performance Security).

4.4 Supplier's Representatives

The Supplier shall also appoint the Supplier's Representatives who shall have the authority, on behalf of the Supplier, to receive instructions.

4.5 Appointment of Sub-suppliers

The Supplier shall not subcontract any part of its obligations under the Contract without prior written approval of the Purchaser, which will be granted or refused by the Purchaser in its sole and absolute discretion. Supplier is not relieved of any obligation to the Purchaser and will remain fully responsible for the performance of its Sub-Suppliers, in connection with the scope of Supply.

4.6 Designing

- (a) Design Information
 - (i) The Supplier shall be responsible for the design documentation, drawings and specifications for the Equipment in accordance with Purchaser's Requirements. The Supplier will prepare and submit preliminary designs and final designs in relation to the Equipment to the Purchaser for its comments in the manner and time set out in the Purchaser's Requirements and will incorporate the Purchaser's comments, if any into the final design. The Supplier shall thereafter not revise any of the designs without approval of the Purchaser.
 - (ii) Any data or information received by the Supplier from the Purchaser shall not relieve the Supplier from his responsibility for the design of the Equipment.
- (b) Supplier's warranty of design
 - (i) The Supplier shall be fully responsible, for the suitability, adequacy, integrity, durability and practicality of the drawings and designs.
 - (ii) The Supplier warrants that the drawings and designs will meet the Purchaser's Requirements and shall be fit for the purpose thereof.
 - (iii) The Supplier warrants that the Equipment have been and/or shall continue to be manufactured in accordance with the standards specified in the Purchaser's Requirements and utilising proven up to date technology, systems, procedures, high quality goods, materials and equipment and high standards of workmanship and fabrication, in accordance with Best Industry Practice.

- (iv) The Supplier warrants that the execution of the design has taken or shall have taken full account of the effects of the transportation on Equipment, and other logistics movement, intended construction and manufacturing methods, temporary supplies and equipment.
- (v) The Supplier shall indemnify the Purchaser against any damage, expense, liability, loss or claim, which the Purchaser might incur, sustain or be subject to, arising from any breach of the Supplier's design responsibility and/or warranty set out in this Clause 4.6 (Design).
- (vi) No claim for additional payment or Extension of Time shall be entertained and/or the Supplier shall not be relieved from any obligation/liability under the Contract, for any delay, suspension, impediment to or adverse effect upon the progress of the supplies due to any failure by the Supplier to prepare any drawings and designs or submit the same to the Purchaser's Representative in due time and the Supplier shall promptly make good any such delay / Defect at its own cost.

4.7 Third Party Rights

- (a) The Supplier acknowledges and agrees that the Third Parties shall have the right to inspect the Supplier's manufacturing facility and monitor the progress of the supplies (including any supplies performed by a Sub-supplier) and the Supplier shall co-operate with the Purchaser and the Third Parties for such purpose. It is further agreed that there shall be no restriction on the number of visits by the Purchaser and the Third Parties, provided that such visits will be in reasonable numbers and will not interfere, stop, slow down or effect the Supplier's execution of its work.
- (b) The Purchaser shall ensure that the Third Parties carry out any inspection and monitoring with prior notice during reasonable working hours and are always accompanied by the Purchaser's Representatives or other delegates and shall comply with reasonable site safety requirements.
- (c) The Supplier shall not be entitled to any relief under the Contract to the extent it suffers any delay in carrying out or completing the Supply as a result of compliance or failure to comply with this Clause 4.7 (Third Party Rights).

4.8 Safety Procedures and Quality Assurance

- (a) The Supplier shall be responsible for the security, stability and safety of its operations on the Site and shall:
 - (i) comply with all applicable safety Laws;
 - (ii) comply with the Purchaser's safety manual set out in Schedule 6 (Environment, Health & Safety Manual);
 - (iii) comply with Schedule (Insurance Requirements);
 - (iv) comply with Best Industry Practice; and
 - (v) take care for the safety of all the Supplier's persons entitled to be on the Site.
- (b) The Supplier shall, if so requested, provide to the Purchaser full evidence and relevant certification with respect to the safety and integrity of all Supplier's Equipment.
- (c) The Supplier shall comply with the quality assurance system set out in Schedule 5 (Quality Assurance Procedure and Testing).
- (d) The Purchaser shall be entitled to audit the Supplier's compliance with the requirements under this Clause 4.8 (Safety Procedures and Quality Assurance), with reasonable notice to the Supplier.
- (e) Compliance with the requirements under this Clause shall not relieve the Supplier of any of his duties, obligations or responsibilities under the Contract.

4.9 Transport of Equipment

- (a) The Supplier shall be responsible for packing, loading, transporting, and delivering all Equipment, Special Tools, Equipment and Consumables at the Delivery Location.

- (b) The Supplier shall select reputed companies for the transportation and delivery of the Equipment, Special Tools, Equipment and Consumables.
- (c) In the event the Supplier intends to transport any hazardous material, the Supplier shall notify the Purchaser at the outset and submit the plan for the transportation of such materials for the Purchaser's approval.
- (d) The Supplier shall be responsible for obtaining, if necessary, Approvals from the authorities for transportation of the Equipment and the Supplier's Equipment to the Delivery Location. The Purchaser shall use its best endeavours in a timely and expeditious manner to assist the Supplier in obtaining such approvals, if requested by the Supplier.
- (e) The Supplier shall abide by the provisions or restrictions set forth in the applicable Approvals or as may be specified by the Purchaser in relation to public roads, bridges, private roads or property of third parties, and shall be responsible for all damage caused by it and its Sub-Suppliers thereto, in each case in connection with Supply of Equipment to the Delivery Location. Supplier shall reimburse the Purchaser for all such costs promptly on demand..

In addition to the below, the Supplier shall comply with the requirements of Schedule 10 (Logistics).

4.10 Supplier's Equipment

If and when brought on to the Site, the Supplier's Equipment shall be deemed to be exclusively intended for the performance of its Supply obligations under the Contract and shall not be remove from the Site without the prior approval of the Purchaser. The Supplier shall be responsible for and bear the risk of loss and damage to all the Supplier's Equipment during the entire period of Supply, including suspension, if any.

4.11 Special Tools, Equipment and Consumables and O&M Manual

- (a) The Supplier shall be responsible for providing as part of the Contract Price, Special Tools, Equipment and Consumables, and O&M Manuals required for the operation and maintenance of the Equipment by the Purchaser and shall ensure that such O&M Manuals, Special Tools, Equipment and Consumables are available at the Delivery Location as per the Delivery Schedule, and in no event later than the last Scheduled Delivery Date.
- (b) The Purchaser shall have the right to inspect the Special Tools and, Equipment and Consumables on their arrival at the Site and only upon the Purchaser certifying and accepting the delivery of such Special Tools, Equipment and Consumables shall such Special Tools, Equipment and Consumables deemed to have been delivered by the Supplier in accordance with the Contract.
- (c) The Supplier may use the Special Tools, Equipment and Consumables in order to perform its obligations under the Contract (including in performance of its Defect rectification obligations), provided that the Supplier shall promptly deliver a replacement, at its own cost, for any Equipment and Consumables used by it and for any Special Tools to the extent that they require replacement as a result of such use.
- (d) The Spare Parts shall carry a warranty in accordance with Schedule 1 (Purchaser's Requirements).

4.12 Training

The Supplier shall provide full and comprehensive training meeting the requirements of Schedule 1 (Purchaser's Requirements) to the relevant personnel identified by the Purchaser, at such time as may be specified by the Purchaser, to enable such personnel to operate the Equipment fully and efficiently and to inspect and maintain the Equipment, with the minimum interference to commercial operation. The Supplier shall submit to the Purchaser for approval the schedule for and contents of the programme of training, on or before the last Scheduled Delivery Date and incorporate the comments received from the Purchaser on the training programme.

4.13 Documents

- (a) The Documents shall comprise the technical documents, test reports, warranty information and other documents specified in the Purchaser's Requirements and documents required to satisfy all Approvals (including any information necessary to enable the Purchaser or Owner to apply for any Approvals).

- (b) The Supplier shall prepare all the Documents and shall also prepare any other documents necessary to instruct the Supplier's Personnel.
- (c) If the Purchaser's Requirements describe the Documents which are to be submitted to the Purchaser for review, they shall be submitted accordingly, together with a notice as described below. In the following provisions of this Clause 4.13 (Documents), (i) **review period** means the period required by the Purchaser for review, and (ii) **the Documents** exclude any documents which are not specified as being required to be submitted for review.
- (d) Unless otherwise stated in the Purchaser's Requirements, each review period shall not exceed ten (10) days, calculated from the date on which the Purchaser receives the relevant Document and the Supplier's notice. This notice shall state that the Document is considered ready, both for review in accordance with this Clause and for use. The notice shall also state that the Document complies with the Contract, or the extent to which it does not comply. The complete protocol for the review of Documents is set out in Schedule 1 A (Engineering Protocol and Review Process).
- (e) The Purchaser may, within the review period, give notice to the Supplier that a Document fails (to the extent stated) to comply with the Contract. If a Document so fails to comply, it shall be rectified, resubmitted and reviewed in accordance with this Clause, at the Supplier's cost.
- (f) If the Supplier proceeds with any part of the supplies having received a notice from the Purchaser that states that any of the Documents fails to comply with the Contract, then all resulting delays and additional cost incurred by the Supplier and the Purchaser are the sole financial responsibility of the Supplier.

4.14 Site Conditions

If required, the Purchaser shall have made available to the Supplier for its information, all relevant data in the Purchaser's possession on Site Conditions.

4.15 Supplier's Operations on Site or Delivery Location

- (a) The Supplier shall confine its operations to the Site or Delivery Location. Whilst on Site, the Supplier shall keep the Site free from all unnecessary obstruction and shall store or dispose of any Supplier's Equipment or surplus materials.
- (b) The Supplier shall leave the Site and / or Delivery Location in a clean and safe condition.

4.16 Sufficiency of the Contract Price

- (a) The Supplier shall be deemed to have satisfied itself as to the correctness and sufficiency of the Contract Price. Unless otherwise stated in the Contract, the Contract Price covers all costs related with or incidental to the Supplier's obligations under the Contract, including all costs pertaining to labour and skilled personnel and all things necessary for the proper Supply of the Equipment, Special Tools, Equipment and Consumables, O&M Manuals, provision of training to the Purchaser's personnel and the remedying of any Defects in accordance with the Contract.
- (b) The Supplier shall be responsible for obtaining all information necessary for the performance of the Contract and shall be deemed to have included in the Contract Price sufficient allowances for all risks, contingencies, local, regional, national and Site Conditions, applicable Law, customs, insurance policies, practices and other conditions affecting the Site, the Supply and remedying of Defects.
- (c) The Supplier hereby represents to the Purchaser that it has scrutinised the scope of Supply and warrants that the number of Supplier's Personnel deployed at Site and the man-days specified in Schedule 3 (Contract Price and Payment Terms) are sufficient to complete the Supply and all ancillary work in a timely manner. The Supplier agrees that the Contract Price includes all costs related to the Supplier's supervisory obligations during installation & commissioning, and commissioning of the Equipment, until acceptance by the Purchaser of the Equipment in accordance with the Contract.
- (d) Except for any reason solely attributable to the Purchaser, the Purchaser shall not be liable to pay any additional amounts to the Supplier for any additional man-days (exceeding the man-days specified in the Contract) required to complete all of Supplier's obligations under the Contract.

- (e) Subject to sub-clause (d) above, the Parties shall negotiate the rate for additional man-days (agreed in principle) in good faith. The Purchaser shall issue a separate Purchase Order or amend the existing Purchase Order to account for such additional man-days. The Purchaser shall not be liable to make any payments to the Supplier for any additional man-days deployed by the Supplier prior to the issuance of the Purchase Order and / or clear instructions to proceed with the works.
- (f) Further, the Supplier's Representative shall prepare and submit productivity report to the Purchaser's Representative (or such other person as may be notified by the Purchaser from time to time) on daily basis (or any other agreed frequency for submission of reports), detailing the work completed during the day and idling man-power, if any.

5. STAFF AND LABOUR

5.1 Labour Laws

- (a) The Supplier shall comply with all the relevant labour Laws applicable to the Supplier's Personnel.
- (b) When on the Site, the Supplier shall require the Supplier's Personnel to obey all applicable Laws and Approvals, including those concerning safety at work.

5.2 Supplier's Personnel

- (a) The Supplier's Personnel shall be appropriately qualified, skilled and experienced in their respective trades or occupations. The Purchaser may require the Supplier to remove (or cause to be removed) any person employed on the Site, including the supply manager or Supplier's Representative if applicable, who:
 - (i) persists in any misconduct or lack of care;
 - (ii) carries out duties incompetently or negligently;
 - (iii) fails to conform with any provisions of the Contract; or
 - (iv) persists in any conduct which is prejudicial to safety, health, or the protection of the environment.
- (b) The Supplier shall immediately appoint a replacement who is no less qualified than the person being replaced.

6. INTELLECTUAL PROPERTY

6.1 Purchaser's Use of the Supplier's Intellectual Property

- (a) As between the Parties, the Supplier shall retain Intellectual Property in (i) the O&M Manuals, installation manuals, computer programmes, models, warranty manual and technical specifications supplied by Supplier, made by (or on behalf of) the Supplier prior to the Contract Date ("**Supplier's Documents**"), and (ii) the Equipment (collectively, the "**Supplier's Intellectual Property**"), except the Intellectual Property which is created by the Supplier specifically for carrying out the Supply under this Contract, and such Intellectual Property shall be considered as Project IP.
- (b) The Supplier grants to the Purchaser a non-terminable, world-wide, sub-licensable, non-exclusive, royalty-free licence to use, copy and communicate the Supplier's Documents for the proper installation, operation, use and maintenance of the Equipment. This licence shall:
 - (i) apply throughout the actual or intended working life (whichever is longer) of the relevant Equipment; and
 - (ii) entitle any person in proper possession of the relevant part of the Equipment (such as the Owner or any subsequent owner of the Project) to use, copy and communicate the Supplier's Documents for the purposes of operating, maintaining, repairing and demolishing the Equipment.
- (c) In the event the Supplier's Intellectual Property includes a Software, the Supplier hereby grants the Purchaser a non-terminable, transferable, non-exclusive, royalty-free licence to store, load, install and use (on any computer at Site and other places as envisaged by the Contract) the Software for the purpose of integration, operation and

maintenance of the Equipment. “**Software**” means, the computer program delivered to the Purchaser in machine-readable, object code form, including upgrades (if any).

6.2 Supplier's Representation and Warranties

The Supplier warrants and represents that:

- (a) The Supplier owns all the rights and title to the Supplier's Intellectual Property, and it has all rights and licences necessary to grant to the Purchaser the licences specified in Clause 6.1 (Purchaser's Use of the Supplier's Intellectual Property); and
- (b) The use of the Equipment and the Supplier's Documents by or on behalf of the Purchaser, whether in the operation or maintenance of the Equipment or Project Facility or otherwise, will not infringe the Intellectual Property rights of any third party.
- (c) The Project IP created will be the original work of the Supplier, its employees, and if applicable, other third parties engaged by it. The Supplier warrants that the possession, use, or distribution by the Purchaser or the Owner of the Documents created by the Supplier in connection with Supply, will not infringe or misappropriate the Intellectual Property rights of any third party.

6.3 Supplier's Use of the Purchaser's Documents

- (a) All Project IP vests in and is the property of the Purchaser upon it coming into existence.
- (b) The Supplier may, at his cost, copy, use, and obtain communication of these documents only for the purposes of performing the Contract. The Project IP, Purchaser's Requirements and the Purchaser-Supplied Information shall not, without the Purchaser's consent, be copied, used or communicated to a third party by the Supplier, except as necessary for the purposes of the Contract.

7. EQUIPMENT

7.1 Manner of Execution

The Supplier shall ensure that the production and manufacture of Equipment and spare parts and all other ancillary works and the Supply are carried out:

- (a) in the manner specified in the Contract;
- (b) in a proper workmanlike and careful manner, in accordance with Best Industry Practice;
- (c) with properly equipped facilities and non-hazardous materials, except as otherwise specified in the Contract;

7.2 Packaging and Delivery

- (a) The Supplier must, at its own cost, ensure that:
 - (i) the Equipment, Special Tools, Equipment and Consumables are packed as per Best Industry Practice and in a manner that protects the Equipment, Special Tools, Equipment and Consumables in transit; and
 - (ii) each container or package for delivery to the Purchaser is clearly marked with the correct itemised packing list.
- (b) If the Purchaser incurs any costs, damages, losses, and expenses resulting from any damage to the Equipment due to any deficiency in packaging of the Equipment or packing not being in accordance with the Contract, the Supplier shall reimburse the Purchaser for all such costs promptly on demand.
- (c) All packaging material issued by the Supplier shall be the property of the Purchaser.

- (d) The Supplier shall Supply each item of the Equipment to the Delivery Location in accordance with the terms of the Contract, the Purchaser's Requirements and submit to the Purchaser all relevant documents to enable the Purchaser to take delivery of the Equipment at the Delivery Location as set out in the Purchaser's Requirements.

8. INSPECTION AND TESTING

8.1 Factory Inspection and Testing

- (a) The factory testing shall be as per Schedule 5 (Quality Assurance Procedure and Testing) and the Supplier's or its equipment manufacturer's test protocols as agreed between the Parties. The Supplier shall furnish all reports confirming that the performance of the Equipment is in line with the Purchaser's Requirements. The Supplier shall, at its own cost, ensure that the Purchaser is given access to carry out any inspection, examination, measurement or test of the Equipment at the Supplier's or equipment manufacturer's plant or factory at the stage preceding their packaging and transportation to the Delivery Location in accordance with the Purchaser's Requirements. The Supplier shall give the Purchaser at least 14 days' advance notice before any Equipment is tested or covered up, put out of sight or packaged for storage or transport. The Purchaser then shall either attend the inspection, examination, measurement or testing, or give notice to the Supplier that it will be unable to attend. The Purchaser may request the Supplier not to cover up and ready any Equipment for packaging, storage and transportation in the event it is unable to attend or carry out any inspection examination, measurement or test within such time. In such event, the Supplier shall be entitled to an Extension of Time.
- (b) The cost of travel and stay of any the Purchaser's Personnel at the location of any equipment manufacturer's plant or factory shall be borne by the Purchaser, provided that if it is necessary to repeat any inspection, examination, measurement or test due to any Defect being ascertained in any Equipment, the said costs related to the repeated inspection, examination, measurement or test shall be borne by the Supplier.
- (c) If the Purchaser attends or carries out an examination, measurement or test on any Equipment, the Purchaser shall either: (i) issue to the Supplier a Material Dispatch Clearance Certificate if it is satisfied with the outcome of such examination, measurement or test; or (ii) give the Supplier a notice setting out the reasons due to which it is not satisfied with such examination, measurement or test, pursuant to which the process set out in sub-Clause (a), (b) and this sub-Clause (c) shall be repeated after the Supplier has addressed the Purchaser's concerns. The Supplier shall not be entitled to an Extension of Time or an adjustment to the Contract Price on account of it having to carry out any rectifications pursuant to the Purchaser's notice at (ii) aforesaid. The Supplier shall not dispatch the Equipment to the Delivery Location until the Purchaser has issued a Material Dispatch Clearance Certificate.
- (d) If the Supplier fails to give such notice, it shall as and when required by the Purchaser re-test the Equipment or uncover the relevant Equipment for inspection and measurements, and thereafter reinstate and make good the Equipment, if any, all at its cost.
- (e) No examination, measurement or test carried out by the Purchaser shall relieve the Supplier of any of its obligations under the Contract.

8.2 Inspection at Delivery Location

[This Clause 8.2 is applicable if Site is not the Delivery Location]

- (a) Upon receipt of the Equipment at the Delivery Location, the Purchaser and/or the Purchaser's Representative shall have the right to conduct a physical inspect of the packaging in which the Equipment has been delivered to the Delivery Location.
- (b) If the Purchaser is not satisfied with the condition of the packaging upon such physical inspection, the Purchaser shall communicate its observations and concerns to the Supplier within 30 days of receipt of the shipment at the Delivery Location. Subsequently, if any Defect, damage or deficiency is noticed in the Equipment upon subsequent inspection at Site or during use of the Equipment, which cannot reasonably be attributed to the Purchaser's mishandling or misuse of the Equipment, the Supplier shall (whether or not covered by its warranty obligations under Clause 13.1 (Remedial Work)), repair or replace, at its own cost, such Equipment.
- (c) No physical inspection at the Delivery Location (whether carried out or not) shall relieve the Supplier of any of its obligations under the Contract.

8.3 Inspection at Site

- (a) Upon receipt of the Equipment at the Site, the Purchaser and/or the Purchaser's Representative shall have the right to inspect, examine, measure or test the Equipment as per the Purchaser's Requirements.
- (b) Upon such inspection, examination, measurement or test at the Site, the Purchaser may refuse to accept delivery of all or part of the Equipment if, as a result of any such inspection, examination, measurement or test, the Equipment (so inspected, examined) is found to be Defective or otherwise fails to meet the requirements set forth in the Contract. The Purchaser shall notify the Supplier in writing of the Defect, in reasonable detail.
- (c) In the event the Purchaser issues a notice of Defects to the Supplier in accordance with this Clause 8.3 (Inspection at Site), the Supplier shall promptly correct the Defects detailed in the Purchaser's notice by repairing or replacing the affected Equipment or part thereof and notify the Purchaser after such repair or replacement is completed. Once the Supplier has repaired or replaced the Defective component in the Equipment, the Supplier shall make the same available for the Purchaser's re-inspection, re-examination, re-measurement or re-test at the Site. The Purchaser shall, within fourteen (14) days from receipt of such notice to re-inspect, re-examine, re-measure, or re-test the repaired/replaced Equipment at the Site, re-inspect, re-examine, re-measure, or re-test such Equipment and: (i) accept delivery of the Equipment; or (ii) in case of the Purchaser finding that the Defects earlier discovered by it has not been repaired/replaced effectively or there exists another Defect in the Equipment or part thereof, provide another notice to the Supplier with respect to such Defect, in which case the Supplier shall again repair or replace the same and which processes shall continue until the Equipment in entirety is free from Defects and approved by the Purchaser. Provided that any re-inspection, re-examine, re-measure, or re-test carried out by the Purchaser after the initial inspection shall be at the Supplier's expense.
- (d) The delivery of the Equipment shall be complete on the date of such acceptance by the Purchaser.
- (e) Upon acceptance of delivery of the Equipment in accordance with this Clause 8.3 (Inspection at Site), the Supplier shall issue a Material Acceptance Certificate in respect of such Equipment.
- (f) The Supplier shall provide all apparatus, assistance, documents (including results of tests conducted during the manufacturing process) and other information, equipment, consumables, instruments, labour, materials and suitably qualified and experienced staff, as necessary to carry out all inspection, examination, measurement or test efficiently.

8.4 Rejection

- (a) If, as a result of an examination, inspection, measurement or testing, any Equipment is found to be Defective or otherwise not in accordance with the Contract and/or any Approval or applicable Law, the Purchaser may reject the Equipment by giving notice to the Supplier, with reasons. The Supplier shall then at its own cost promptly make good the Defects and ensure that the rejected item complies with the Contract and/or any Approval or applicable Law.
- (b) If the Purchaser requires such Equipment to be retested, the tests shall be repeated under the same terms and conditions. If the rejection and retesting cause the Purchaser to incur additional costs, the Supplier shall pay these costs to the Purchaser promptly on demand.

8.5 Remedial Work

- (a) Notwithstanding any previous test or certification, the Purchaser may instruct the Supplier to remove from the Delivery Location or Site and replace any Equipment on DDP Site basis, which is not in accordance with the Contract and/or any Approval or applicable Law.
- (b) The Supplier shall comply with the instruction within a reasonable time, which shall be the time (if any) specified in the instruction. If the Supplier fails to comply with any such instruction, the Purchaser shall be entitled to procure such Equipment from any third party, at the cost and risk of the Supplier. The Supplier shall promptly pay to the Purchaser all such costs. The Supplier acknowledges and agrees that the performance of remedial work by other persons shall not, to the extent such Supply is carried out in accordance with Best Industry Practice, affect the Performance Guarantees or Supplier's further liability for Defective Equipment.

9. OWNERSHIP OF EQUIPMENT

- (a) Each item of Equipment, Special Tools, Equipment and Consumables shall become the property of the Purchaser, free from lien and other encumbrances, at the earlier of the following:
 - (i) When it is delivered at the Delivery Location;
 - (ii) When the Supplier is paid for the value of such Equipment, Special Tools, Equipment and Consumables.,
- (b) Despite the transfer of ownership of the Equipment, Special Tools, Equipment and Consumables, the risk of loss or damage to, the Equipment, remains with the Supplier until the Equipment are taken over by the Purchaser in accordance with Clause 12.4 (Taking Over of Equipment).

10. COMMENCEMENT OF SUPPLY AND DELAYS

10.1 Commencement of Supply

- (a) On and from the Commencement Date, the Supplier shall commence the Supply and proceed continuously and diligently to carry out the Supply, without delay, in accordance with the Contract.
- (b) The Purchaser shall issue the NTP provided that a notice to proceed has been issued by the Owner to the Purchaser under the EPC Contract.

10.2 Scheduled Delivery Date

The Supplier shall complete the Supply of Equipment to the Delivery Location within the Scheduled Delivery Date of the relevant Equipment, including:

- (a) obtaining the Material Dispatch Clearance Certificate for each Equipment in accordance with Clause 8.1 (Factory Inspection and Testing); and
- (b) completing all work which is stated in the Contract as being required for the acceptance of delivery of the Equipment Supplied by the Purchaser.

10.3 Delivery Schedule and Delivery Programme

- (a) On a weekly basis following the issuance of the NTP until the issuance of the Final Material Acceptance Certificate, the Supplier shall issue to the Purchaser a Delivery Programme, showing the actual progress of the Supply against the Delivery Schedule and acceleration measures necessary to ensure completion of the Supply in accordance with the Delivery Schedule.
- (b) The work necessitated by any acceleration measures in accordance with Clause 10.3(a) (Delivery Schedule and Delivery Programme) shall be carried out at the sole cost of the Supplier.
- (c) No notice or comment on, or approval of, any Delivery Programme by the Purchaser shall relieve the Supplier of any of its obligations under the Contract.

10.4 Extension or Acceleration of Scheduled Delivery Date

- (a) The Supplier shall be entitled subject to Clause 20.1 (Supplier's Claims) to an extension of the Scheduled Delivery Date if and only to the extent that Supply of Equipment is or will be delayed by any of the following causes:
 - (i) a Variation under Clause 14 (Variations and Adjustments);
 - (ii) Suspension in accordance with Clause 11 (Suspension by the Purchaser); and
 - (iii) a Force Majeure event.

- (b) It is a further condition of the Supplier's entitlement to any extension of the Scheduled Delivery Date of such Equipment that the Supplier has taken all reasonable steps to mitigate the effects of such delay. If there are two or more concurrent causes of delay and only one of those concurrent causes is a cause of delay which would entitle the Supplier to an Extension of Time in accordance with this Clause 10.4 (Extension or Acceleration of Scheduled Delivery Date) then the Supplier shall not be entitled to an Extension of Time for the period of such concurrency.
- (c) The Purchaser may at any time direct the Supplier to bring forward the Scheduled Delivery Date of any Equipment for any reason including as an alternative to granting an Extension of Time. The Supplier shall be entitled to all extra costs, as assessed by the Purchaser, necessarily incurred by the Supplier in complying with an acceleration order, except where such order was issued as a consequence of any act or omission of the Supplier.

10.5 Rate of Progress

- (a) If, at any time:
 - (i) The Supplier's actual progress is too slow to complete within the Scheduled Delivery Date; and / or
 - (ii) The Supplier fails to deliver the Equipment in accordance with the Purchaser-approved Delivery Schedule; and / or
 - (iii) The Supplier fails to Supply in accordance with any requirements as provided in the Contract,other than as a result of a cause listed in Clause 10.4 (Extension or Acceleration of Scheduled Delivery Date), then the Supplier shall, at its own cost and risk, increase the working hours and/or the numbers of Supplier's Personnel and Supplier's Equipment, to complete the Supply in accordance with the Delivery Schedule.
- (b) Without prejudice to the right of the Purchaser to levy liquidate damages for delay, any delay beyond 15 Business Days in achieving any critical milestone specified in the Delivery Schedule shall entitle the Purchaser to descope the Supply.

10.6 Delay Damages

- (a) If the Supplier fails to comply with Clause 10.2 (Scheduled Delivery Date) as a result of which the Supply of any Equipment is delayed beyond the Scheduled Delivery Date, the Supplier shall, when requested by the Purchaser, pay Delay Liquidated Damages to the Purchaser, provided that the aggregate of Delay Liquidated Damages shall not exceed the Delay Liquidated Damages Cap.
- (b) The Parties agree that the Delay Liquidated Damages are a genuine and reasonable pre-estimate of the damages likely to be sustained by the Purchaser as a result of the Supplier's breach of its obligations as set out in Clause 10.2 (Scheduled Delivery Date).
- (c) Any Delay Liquidated Damages payable under this Clause are payable to the Purchaser within thirty (30) days following a demand therefor. The Purchaser may, without prejudice to any other method of recovery, (i) deduct the amount of Delay Liquidated Damages from any monies due, or to become due, to the Supplier, and/or (ii) (ii) invoke and draw on the Performance Security or any other securities available to the Employer for payment of any such liquidated damages.
- (d) The payment or deduction of such Delay Liquidated Damages shall not relieve the Supplier from its obligations to complete the Supply, or from any of its other duties, obligations or responsibilities under the Contract. The Supplier shall use and continue to use its best endeavours to avoid or reduce further delay to the Supply, or the achievement of any subsequent Scheduled Delivery Date.

11. SUSPENSION BY THE PURCHASER

11.1 Suspension of Supply

The Purchaser may at any time instruct the Supplier to suspend Supply of part or all of the Equipment. During such suspension, the Supplier shall protect, store and secure such part or whole of the Equipment (as the case may be) against any deterioration, loss or damage.

To the extent that the cause of the suspension is attributable to the Supplier, Clauses 11.2 (Consequences of Suspension) shall not apply.

11.2 Consequences of Suspension

- (a) If the Supplier suffers delay from complying with the Purchaser's instructions under Clause 11.1 (Suspension of Supply) and/or from resuming Supply, the Supplier shall give notice to the Purchaser and shall be entitled subject to Clause 20.1 (Supplier's Claims) to an Extension of Time for any such delay pursuant to Clause 10.4 (Extension or Acceleration of Scheduled Delivery Date), which shall be proportional to the extension of time granted to the Purchaser under the EPC Contract. In case of any cost claims, the Supplier shall be entitled to additional costs incurred as a result of such suspension, only if the suspension is for a period exceeding 30 days and provided such suspension is covered under the EPC Contract. If any costs are granted to the Purchaser under the EPC Contract for such suspension, the Supplier shall be paid proportionally as per its scope of Supply hereunder.
- (b) The Supplier shall not be entitled to an Extension of Time for, or to payment of the cost incurred in, making good the consequences of any Defects, or of faulty Equipment which are a result of the Supplier's failure to protect, store or secure in accordance with Clause 11.1 (Suspension of Supply).

11.3 Resumption of Supply

After the permission or instruction to proceed is given, the Parties shall jointly examine the Equipment affected by the suspension. The Supplier shall make good any deterioration or Defect in or loss of the Equipment, which has occurred during the suspension.

12. TESTS ON COMPLETION AND TAKING OVER

12.1 Tests on Completion

- (a) The Tests on Completion shall be carried out by the Purchaser to ascertain (among other things) whether the Project Facility (including Equipment supplied in terms of the Contract) meet all Performance Guarantees simultaneously and are in conformance with the requirements of the Contract. The Purchaser shall notify the Supplier at least fourteen (14) days prior to the date on which any Tests on Completion will be conducted.
- (b) The Supplier shall ensure that the Supplier's Representative shall be present during the Tests on Completion and shall provide all necessary supervision, assistance and information for commissioning of the Project.

12.2 Performance Guarantees Not Achieved

- (a) Without prejudice to the Purchaser's right to claim Performance Liquidated Damages, if the Equipment or a section thereof, fail to pass the Tests on Completion, Clause 8.4 (Rejection) shall apply, and Purchaser may require that the failed test on any related work, to be repeated under the same terms and conditions, at the Supplier's sole cost and expense.
- (b) If Performance Guarantees are not achieved during the Tests on Completion, then the Supplier shall pay the Purchaser the Performance Liquidated Damages.
- (c) Any Performance Liquidated Damages payable under this Clause are payable to the Purchaser within thirty (30) Business Days following a demand therefor. The Purchaser shall have the right to recover any such liquidated damages by making a demand on the Performance Security.
- (d) The Parties agree that the Performance Liquidated Damages are a genuine and reasonable pre-estimate of the damages likely to be sustained by the Purchaser as a result of the Equipment failing to achieve the Performance Guarantees. The Purchaser may, without prejudice to any other method of recovery, (i) deduct the amount of Performance Liquidated Damages from any monies due, or to become due, to the Supplier; and/or (ii) invoke and draw on the Performance Security or any other securities available to the Purchaser for payment of any such liquidated damages.

12.3 Failure to Pass Tests on Completion

If the Equipment or part thereof fails to pass the Tests on Completion repeated under Clause 12.2 (a), the Purchaser shall have the same remedies as are provided in Clause 13.4 (Failure to Remedy Defects).

12.4 Taking Over of Equipment

- (a) Except as stated in Clause 12.3 (Failure to Pass Tests on Completion), the Equipment shall be taken over by the Purchaser when the following has been completed:
 - (i) The Supplier has completed the Supply of Equipment, Spare Parts and Special Tools, Equipment and Consumables in accordance with the Contract;
 - (ii) The Equipment has successfully completed and passed the Tests on Completion and all Performance Guarantees are met;
 - (iii) The Project has commenced commercial operations after successful completion of Tests on Completion and trial operation.
 - (iv) All accrued Delay Liquidated Damages and Performance Liquidated Damages (if applicable) have been paid by the Supplier;
 - (v) Supplier has delivered the warranty certificate, Collateral Warranty and such other document requested by the Purchaser; and
 - (vi) Supplier has submitted the final lien waiver certificate to the Purchaser in the format requested by the Purchaser.
- (b) Upon completion of the aforementioned obligations, the Supplier may apply by notice to the Purchaser for issuance of Taking Over Certificate.
- (c) The Purchaser shall, within 30 days of receiving the Supplier's application, and subject to receipt of taking over certificate from the Owner:
 - (i) issue the Taking Over Certificate to the Supplier, stating the date on which the Equipment passed all Tests on Completion for achieving commercial operation; or
 - (ii) reject the application, giving reasons and specifying the work required to be done by Supplier to enable the Taking Over Certificate to be issued. The Supplier shall then complete this work before issuing a further notice under this Clause 12.4 (Taking over of Equipment).

13. REMEDYING DEFECTS

13.1 Remedial Work

- (a) The Supplier warrants that during the relevant Warranty Period, the Equipment, Documents and Supplier's Documents shall be free from all Defects and shall be conforming with the requirements of the Contract.
- (b) The Purchaser shall, as soon as reasonably practicable after becoming aware of any Defect in the Equipment, give a written notice by the Supplier stating the nature of the Defect and a reasonable time for rectification of the Defect by the Supplier.
- (c) Immediately upon being notified by the Purchaser in writing during the relevant Warranty Period, the Supplier shall, within the time the Purchaser reasonably requires and in a manner, which causes as little disruption to the operation of the Project as reasonably possible, promptly repair, replace or otherwise make good (as the Purchaser determines in its discretion after consultation with the Supplier):
 - (i) any Defects in any Equipment ("**Base Warranty**");
 - (ii) any Latent Defects in any Equipment ("**Latent Defect Warranty**"); and

(iii) any Serial Defects in any Equipment (**“Serial Defects Warranty”**).

(collectively, the **“Remedial Work”**)

[Unless specified in the Particular Conditions of Contract, the provisions pertaining to Latent Defects and Serial Defects mentioned in the Contract shall not apply]

- (d) The Supplier shall also promptly repair, replace, or otherwise make good any damage to the Equipment, including the Project Facility, caused by a Defect referred to herein.

13.2 Cost of Remedying Defects

All Remedial Work shall be executed at the risk and cost of the Supplier, if and to the extent that the work is attributable to Equipment being Defective or otherwise not being in accordance with the requirements of the Contract. The Supplier shall be liable for transportation charges, for both the collection of the Equipment from the Site and return of any repaired or replaced Equipment up to the Site on a DDP Site (Incoterm 2020) basis.

13.3 Extension of Warranty Period

The Warranty Period applicable will be extended in respect of any Remedial Work for a further Refresh Warranty Period, provided that the Warranty Period (including the Refresh Warranty Period) applicable in respect of any Remedial Work shall not extend beyond the Overall Warranty Period.

13.4 Failure to Remedy Defects

If the Supplier fails to perform Remedial Work within the time prescribed under Clause 13.1 (Remedial Work) and this Remedial Work was to be executed at the cost of the Supplier under Clause 13.2 (Cost of Remedying Defects), the Purchaser may (at its option):

- (a) Remedy the Defects itself or by others, in a reasonable manner and at the Supplier's cost, and:
- (i) the Supplier shall pay to the Purchaser the costs reasonably incurred by the Purchaser in remedying the Defect or damage, including the cost of procuring equivalent defects liability remedies in respect of such remedied work; and
 - (ii) the performance of Remedial Work by the Purchaser or other persons shall not, to the extent such Remedial Work is performed in accordance with Best Industry Practice, affect the Performance Guarantees or Equipment the Supplier's liability for Defects;
- (b) accept and determine a reasonable reduction in the Contract Price; or
- (c) if the Defect or damage deprives the Purchaser of substantially the whole benefit of the Project Facility or any major part of the Project Facility, terminate the Contract as a whole, or in respect of such part of Equipment which cannot be put to the intended use, and without prejudice to any other rights, under the Contract or otherwise, the Purchaser shall then be entitled to recover from the Supplier all sums paid for the Supply of Equipment or part thereof (as the case may be), plus any amounts payable by the Purchaser to the Owner under the EPC Contract and the cost of dismantling the Equipment, clearing the Site and returning Equipment to the Supplier.

13.5 Removal of Defective Equipment

If the Defect cannot be remedied expeditiously on the Site and the Purchaser gives consent, the Supplier may, at its cost and risk, remove from the Site for the purposes of repair such Equipment as are Defective or damaged.

13.6 Further Tests

- (a) If Remedial Work in relation to any Equipment affect the performance of the Project Facility, the Purchaser may require the repetition of any of the tests described in the Contract, including the Tests on Completion. The requirement shall be made by notice within seven (7) days after the Defect is remedied.

- (b) These tests shall be carried out in accordance with the terms applicable to the previous tests, under Clause 13.2 (Cost of Remedying Defects), at the cost of the Supplier.

13.7 Right of Access

From the date on which the Material Acceptance Certificate is issued until the Performance Certificate has been issued, the Supplier shall have the right of access to such parts of the Site as it reasonably requests subject to:

- (a) Supplier giving reasonable prior notice to the Purchaser and the Purchaser having granted consent to such access;
- (b) any such access complying with the Purchaser's security and health and safety arrangements; and
- (c) such access not causing any interference with the operation of the Project Facility.

13.8 Performance Certificate

- (a) Performance of the Supplier's obligations shall not be considered to have been completed until the Purchaser has issued the Performance Certificate to the Supplier, stating the date on which the Supplier completed his obligations under the Contract.
- (b) Upon the Supplier's request and subject to receipt of Performance Certificate from the Owner, the Purchaser shall issue a Performance Certificate with respect to the Supply of Equipment within thirty (30) days after the expiry of Warranty Period of the last lot of Equipment, provided the Supplier has completed remedying any Defects and all other obligations under the Contract.
- (c) The Purchaser shall issue a Performance Certificate with respect to the delivery of Special Tools, Equipment and Consumables when the last of such Special Tools, Equipment and Consumables has been delivered to the Site to the Purchaser's satisfaction.

13.9 Unfulfilled Obligations

After the Performance Certificate has been issued, each Party shall remain liable for the fulfilment of any obligation, including obligations implied by applicable Laws and Approvals, which remains unperformed at that time. For the purposes of determining the nature and extent of unperformed obligations, the Contract shall be deemed to remain in force.

14. VARIATIONS AND ADJUSTMENTS

14.1 Right to Vary

- (a) The Purchaser may at any time initiate Variation (unless the same is not caused owing to the reasons solely attributable to the Supplier) by increasing or decreasing the quantity of items specified in the Purchaser's Requirement, and provided that such Variation in the quantities does not result in increase of the Contract Price by 25%, the Supplier shall be paid in accordance with the unit rate set out in the Purchaser's Requirement. In the event any such positive Variation results in the increase of the Contract Price in excess of the aforementioned percentage, the unit rate shall be mutually agreed between the Parties.
- (b) The Purchaser may also initiate Variation by increasing the scope of Supply (except changes in quantities in Purchaser's Requirement), by adding new items (not covered in the Purchaser's Requirement), and under such circumstances only, the unit rate for such new items or increase in scope (apart from increase in quantities mentioned in the Purchaser's Requirement), if any, shall be mutually agreed between the Parties.
- (c) The Purchaser shall execute and be bound by each Variation, unless the Supplier promptly gives notice to the Purchaser stating (with supporting particulars) that: [(i) the Supplier cannot readily obtain the Equipment in line with the Variation; (ii) it will reduce the safety or suitability of the Equipment and/or the Project Facility; or (iii) it will have an adverse impact on the achievement of the Performance Guarantees; or (iv) it is of a technical nature which cannot be modified for Equipment for which the manufacturing process has already commenced. Upon receiving and being satisfied with this notice, the Purchaser shall cancel, confirm or vary the instruction.

14.2 Variation Procedure

- (a) If the Purchaser requests a proposal prior to instructing a Variation, the Supplier shall respond in writing as soon as practicable, either by giving reasons why he cannot comply (if this is the case) or by submitting:
 - (i) the Supplier's proposal for any necessary modifications to the Delivery Schedule; and
 - (ii) the Supplier's proposal for adjustment to the Contract Price.
- (b) The Supplier shall as soon as practicable but no later than fourteen (14) days after receiving such proposal, respond with approval, disapproval or comments. The Supplier shall not delay any work whilst awaiting a response and promptly carry out such Variation.
- (c) Each instruction to execute a Variation, with any requirements for the recording of costs and/or modifications to the Delivery Schedule, shall be issued by the Purchaser to the Supplier, who shall acknowledge receipt.
- (d) If the Supplier's proposal pursuant to this Clause 14.2 (Variation Procedure) is acceptable, the Variation shall be issued on that basis. However, if the Supplier and the Purchaser are unable to agree any adjustments to the Contract Price, the Purchaser shall reasonably determine such costs and the Supplier shall be entitled to reimbursement of the costs of any additional work performed.
- (e) A Variation made necessary due to any act, omission or default of the Supplier in the performance of its obligations under the Contract will not result in any payment to the Supplier or an increase in the Contract Price nor entitle the Supplier to an Extension of Time.
- (f) No claim shall be payable to Supplier except where corresponding variation orders are accepted by the Owner in terms of the EPC Contract and paid to the Purchaser. However, this sub-clause shall not be applicable in case of any Variation order arising out of act of commission or omission of the Purchaser.
- (g) Any change desired or required by the Purchaser or the Owner shall be honoured by the Supplier.

14.3 No Adjustments for Changes in Costs

The Contract Price shall not be subject to any adjustment in respect of any rise or fall in the cost of labour, procurement costs, materials, transportation or any other matters affecting the cost of Supplying the Equipment.

15. CONTRACT PRICE AND PAYMENT

15.1 Advance Payment

Unless and until Advance Payment is specified in Schedule 3 (Contract Price and Payment Terms), this Clause 15.1 (Advance Payment) shall not apply.

- (a) The Purchaser shall make an Advance Payment within 30 days of submission by the Supplier of an Advance Payment Security and a Performance Security and subject to the receipt of invoice.
- (b) The Advance Payment shall be adjusted through percentage deductions in each milestone payment.
- (c) Advance Payment shall be recovered through deductions at the rate specified in the Payment Schedule, until such time as the Advance Payment has been repaid.
- (d) If the Advance Payment has not been repaid prior to the issue of the Final Material Acceptance Certificate for the Supplier or prior to termination under Clause 16 (Termination by Purchaser) or Clause 19 (Force Majeure) (as the case may be), the whole of the balance then outstanding shall immediately become due and payable by the Supplier to the Purchaser.

15.2 Payment of Contract Price

- (a) The Purchaser shall, subject to receipt of Performance Security and Advance Payment Security (if applicable) from the Supplier in accordance with Clause 4.3 (Supplier's Securities), pay the Contract Price in the manner set out in Schedule 3 (Contract Price and Payment Terms).
- (b) The Contract Price will be deemed to be inclusive of all Taxes. Supplier shall pay all Taxes, duties and fees required to be paid by him under the Contract, and the Contract Price shall not be adjusted for any of these costs.
- (c) The Purchaser shall have the right to deduct or withhold Taxes on payments due to the Supplier under the Contract to the extent that such deduction or withholding may be required by any competent government authority. Payment by the Purchaser to such competent government authority of the amount so deducted or withheld will relieve the Purchaser from any further obligation to the Supplier with respect to the amount so deducted or withheld. The Purchaser shall issue a Tax deduction or withholding certificate to the Supplier, evidencing the Tax deducted or withheld and deposited by the Purchaser on payments made to the Supplier, to enable the Supplier to claim the credit of the Tax deducted or withheld by the Purchaser.

15.3 Set Off

The Purchaser shall, notwithstanding any provision to the contrary included in the Contract, be entitled to deduct from and/or set off against the Contract Price, any and all amounts which the Supplier is liable to pay to the Purchaser under the Contract and any sums due and payable by the Supplier to satisfy any obligations or liabilities of the Supplier to the Purchaser pursuant to the Contract, or remedy any breach of the Contract by the Supplier.

16. TERMINATION BY THE PURCHASER

16.1 Notice to Correct

If the Supplier fails to carry out any obligation under the Contract, the Purchaser may by notice require the Supplier to make good the failure and to remedy it within a specified reasonable time.

16.2 Termination by Purchaser

- (a) In addition to the other termination events described in the Contract, the Purchaser shall be entitled to terminate the Contract if the Supplier:
 - (i) fails to comply with a notice under Clause 16.1 (Notice to Correct);
 - (ii) abandons the Supply of Equipment for a continuous period of 30 days or otherwise plainly demonstrates the intention not to continue performance of his obligations under the Contract;
 - (iii) without reasonable cause fails to proceed with Supply in accordance with Clause 10 (Commencement of Supply and Delays);
 - (iv) subcontracts any of its obligation under the Contract in breach of Clause 4.5(a) (Appointment of Sub-suppliers);
 - (v) assigns the Contract without the required agreement or consent or fails to comply with any of its obligations under Clause 1.7 (Collateral Warranty);
 - (vi) is in material breach of any obligations under the Contract;
 - (vii) is in breach of any of its representations and warranties under the Contract;
 - (viii) the Delay Liquidated Damages Cap is met and the Supplier's failure to comply with Clause 10.2 (Scheduled Delivery Date) continues;
 - (ix) invokes the limitation on liability specified in Clause 17.5 (Limitation of Liability);
 - (x) is in breach of any applicable Law, including those relating to the environment, health and safety;

- (xi) fails to pay Liquidated Damages or other amounts payable to the Purchaser within the time periods specified in the Contract or, if a time limit is not specified, within thirty (30) days;
 - (xii) becomes or is declared Insolvent.
 - (xiii) the Supplier fails to issue or maintain in full force and effect any Supplier's Security in accordance with this Contract and the Supplier does not cure its failure.
- (b) In case of the events at sub-paragraphs (ii), (iii), (vi), (xi) and (xiii), the Purchaser may, upon giving 15 days' notice to the Supplier, terminate the Contract. However, in the case of events specified in the other sub-paragraphs, the Purchaser may by notice terminate the Contract immediately.
- (c) The Supplier shall then deliver any required Equipment, all Documents and Supplier's Documents to the Purchaser. However, the Supplier shall use his best efforts to comply immediately with any reasonable instructions included in the notice for the protection of life or property or for the safety of the Equipment and the Project Facility.
- (d) Upon receipt of a notice of termination, the Supplier shall, to the extent legally possible and if the Purchaser so requires, assign to the Purchaser all right, title and benefit of the Supplier in any subcontracts between the Supplier and its Sub-suppliers, including all warranties, performance guarantees or other continuing benefits arising under such subcontracts.
- (e) After termination, the Purchaser may procure Equipment and/or arrange for any other entities to do so. The Purchaser and these entities may then use any of the Supplier's Documents.
- (f) The Purchaser shall then give notice that the Supplier's Equipment will be released to the Supplier at or near the Site. The Supplier shall promptly arrange their removal, at the risk and cost of the Supplier. If the Supplier fails to remove the Supplier's Equipment from Site within a reasonable time specified by the Purchaser, the Purchaser shall be entitled to remove such Supplier's Equipment from the Site at Supplier's cost and risk. If by this time the Supplier has failed to make any payment due to the Purchaser, the Purchaser shall be entitled to a lien on such the Supplier's Equipment until all such outstanding payments have been made. The Supplier agrees that the Purchaser shall be entitled to use the Supplier's Equipment at no cost to the Purchaser till such time the Supplier's Equipment is released to the Supplier in accordance with this sub-Clause.
- (g) The Purchaser's election to terminate the Contract shall not prejudice any other rights of the Purchaser, under the Contract or otherwise.

16.3 Valuation at Date of Termination

As soon as practicable after a notice of termination under Clause 16.2 (Termination by Purchaser) has taken effect, the Purchaser shall determine the value of the Equipment Supplied (for which Material Acceptance Certificate has been issued), the Documents and Supplier's Documents, and any other sums due to the Supplier for Supply of Equipment in accordance with the Contract. The Purchaser may, in its own discretion, chose to require the Supplier to deliver to the Delivery Location, such Equipment for which the Material Dispatch Clearance Certificate has been issued. In such cases, subject acceptance of the Equipment in terms of Clause 8.3 (Inspection at Site), the Supplier shall be paid for such Equipment.

16.4 Payment after Termination

After a notice of termination under Clause 16.2 (Termination by Purchaser) has taken effect, the Purchaser may:

- (a) with-hold further payments to the Supplier until the costs remedying of any Defects, damages for delay in completion (if any), and all other costs incurred by the Purchaser, have been established; and
- (b) recover from the Supplier any losses, damages or additional costs incurred by the Purchaser in procuring the Equipment and/or remedying the Defects, at the risk and cost of the Supplier. After recovering any such losses, damages and extra costs, the Purchaser shall pay any balance to the Supplier.

16.5 Purchaser's Termination for Convenience

- (a) The Purchaser shall be entitled to terminate the Contract, at any time for the Purchaser's convenience, by giving notice of such termination to the Supplier. The termination shall take effect fifteen (15) days after the date on which the Supplier receives this notice.
- (b) After this termination, the Supplier shall proceed in accordance with Clause 16.6 (Cessation of Work and Removal of the Supplier's Equipment) and shall be paid in accordance with Clause 19.6 (b) (Optional Termination, Payment and Release). However, in the event of Purchaser's termination for convenience prior to the issuance of NTP, the Supplier shall not be entitled to any payment from the Purchaser.

16.6 Cessation of Work and Removal of the Supplier's Equipment

After a notice of termination under Clause 16.2 (Termination by the Purchaser), Clause 16.5 (Purchaser's Termination for Convenience) or Clause 19.6 (a) (Optional Termination, Payment and Release) has taken effect, the Supplier shall promptly:

- (a) cease all further Supply, except for such work as may have been instructed by the Purchaser for the protection of life or property or for the safety of the Equipment;
- (b) hand over the Documents, Supplier's Documents, and Equipment, for which the Supplier has received payment; and
- (c) remove all other goods from the Site, if any, except as necessary for safety, and leave the Site.

17. RISK AND RESPONSIBILITY

17.1 Supplier Care of the Equipment

- (a) The Supplier shall take full responsibility for the care of the Equipment from the Commencement Date until the Purchaser has issued the Material Acceptance Certificate or has accepted delivery in accordance with Clause 4.11(b) (Special Tools, Equipment and Consumables and O&M Manual) in respect of the Special Tools, Equipment and Consumables. The Supplier shall be liable for any loss or damage caused to the Equipment, Special Tools, Equipment and Consumables during the aforesaid period.
- (b) If any loss or damage happens to the Equipment during the period when the Supplier is responsible for their care, the Supplier shall rectify the damage at the Supplier's risk and cost, so that the Equipment conform to the Contract.
- (c) The Supplier shall also be liable for any loss or damage which occurs after a Material Acceptance Certificate has been issued and which arose from a previous event for which the Supplier was liable.

17.2 Indemnities

- (a) The Supplier shall indemnify and hold harmless the Purchaser, its Affiliates, the Purchaser's Personnel, and their respective agents, from and against all claims, damages, actions, suits, proceedings, losses and expenses (including legal fees and expenses) in respect of:
 - (i) (I) bodily injury, serious disease or death, of any person whatsoever (including Third Parties' personnel), (II) damage to or loss of any property, real or personal, including any third-party property; to the extent that such damage or loss arises out of or in the course of or by reason of the performance or breach of the Supplier's obligations under the Contract, or due to any negligence or wilful act of the Supplier, the Supplier's Personnel, or any of their respective agents, unless attributable to any negligence, wilful act or breach of the Contract by the Purchaser, the Purchaser's Personnel, or any of their respective agents;
 - (ii) the Supplier's failure to comply with any Laws applicable to its performance under the Contract, including the Supplier's failure to pay any Taxes or statutory dues;
 - (iii) the Supplier's infringement of Intellectual Property, in accordance with Clause 17.3 (Infringement of Intellectual Property);

- (iv) any defect in title, lien or encumbrance on any Equipment, Special Tools, Equipment and Consumables Supplied pursuant to the Contract; and
- (v) any act or omission of the Supplier due to which the Purchaser incurs any direct costs, expenses or liabilities under the EPC Contract.

17.3 Infringement of Intellectual Property

- (a) In this Clause, **infringement** means an infringement (or alleged infringement) of any Intellectual Property right relating to the Supply; and **claim** means a claim (or proceedings pursuing a claim) alleging an infringement.
- (b) The Supplier shall indemnify and hold harmless the Purchaser from and against any and all claims by a third party that the Equipment or any part thereof, or any Project IP or the Supplier's Intellectual Property or use thereof by the Purchaser infringes or misappropriates the third party's Intellectual Property rights.
- (c) If the Purchaser is prevented from operating or using the Equipment, the Documents or the Supplier's Documents or any part thereof as a result of an infringement of the Intellectual Property of a third party, the Supplier must, at its own expense, in addition to its other obligations under the Contract, take all steps necessary to procure for the Purchaser the right to operate or use the infringing Equipment or materials as required by the Contract.
- (d) If the Supplier is unable to procure rights to operate or use the infringing Equipment or materials within such reasonable time as the Purchase directs, the Purchaser may direct the Supplier to, at the Supplier's expense:
 - (i) replace or modify the affected part of the infringing Equipment or materials to make them non-infringing, provided such replaced Equipment comply with the Purchaser's Requirements; or
 - (ii) remove the affected part of the Infringing Equipment and compensate the Purchaser for any cost, loss, expense or damage incurred by the Purchaser; or
 - (iii) acquire a licence for the Purchaser and other persons to use such Intellectual Property rights on reasonable commercial terms at no additional cost to the Purchaser.

17.4 Procedure for Indemnity

- (a) If the Purchaser is entitled to be indemnified under this Contract, the Purchaser shall promptly provide a written notice of the same to the Supplier along with all the documents available with it in respect of the said indemnification claim specifying in detail, the nature of the default to which such claim relates to and the amount claimed.
- (b) The Contractor shall (at its cost) then, unless notified otherwise by the Purchaser, conduct negotiations for the settlement of the claim, and any litigation or arbitration which may arise from it. The legal advisors appointed by the Supplier in relation to any such negotiations or proceedings shall be approved by the Purchaser. The Purchaser shall, at the request and cost of the Supplier, assist in contesting the claim.
- (c) The Supplier shall not be entitled to settle or compromise any such claim, action, suit or proceeding without the prior written consent of the Purchaser (not to be unreasonably withheld or delayed).

17.5 Limitation of Liability

- (a) Except for any specific liability which may be identified in this Contract and which may be payable hereunder, neither Party shall be liable to the other Party for any special, incidental, indirect or consequential damages or injury (or equivalents thereof no matter how claimed, computed or characterized) howsoever arising out of or in connection with their respective obligations under this Contract, including loss or anticipated loss of income, profit, business, interruption or disruption, loss by reasons of delay or inability in proceeding ahead with this understanding/agreement.
- (b) The Parties acknowledge and agree that any amounts payable under Clause 10.6 (Delay Damages), Clause 12.2 (Performance Guarantees not achieved) and Clause 17.2 (Indemnities) shall not be considered loss of use, loss or profit, loss of contract or indirect or consequential loss or damage as referred to in the foregoing sentence.

- (c) The total liability of the Supplier to the Purchaser under or in connection with the Contract other than under Clause 13.1 (Remedial Work), Clause 16.4 (Payment after Termination), Clause 17.2 (Indemnities), Clause 17.3 (Infringement of Intellectual Property) and any amounts which the Supplier is required to expend in excess of the Contract Price in order to Supply the Equipment in accordance with the terms of the Contract, shall not exceed the Contract Price.
- (d) Notwithstanding anything to the contrary, this Clause 17.5 (Limitation of Liability) shall not limit liability in any event of gross negligence, fraud, deliberate default or reckless misconduct by the defaulting Party or any liability that cannot be excluded as a matter of applicable Law.

18. INSURANCE

The Supplier shall at its sole cost and expense, obtain, maintain and keep in full force and effect during the term of the Contract (or for such longer term as may be required) insurance in accordance with and meeting the requirements set forth in the relevant sections of Schedule 8 (Insurance Requirements) and any further insurance the Supplier may be required to procure and maintain in effect under applicable Laws and Approvals. The Supplier shall ensure that the Sub-Suppliers obtain, maintain and keep in full force and effect such insurances throughout the time during which they are engaged to perform any work in the Site.

19. FORCE MAJEURE

19.1 Definition of Force Majeure

- (a) In this Clause, **Force Majeure** means any exceptional event or circumstance listed in Clause 19.1(b) (Definition of Force Majeure) and:
 - (i) which is beyond a Party's control;
 - (ii) which such Party could not reasonably have provided against before entering into the Contract;
 - (iii) which could not have been prevented by the affected Party by the exercise of reasonable care and skill and through acting in accordance with Best Industry Practice and taking into account the likelihood of such event, the effect of such event if it should occur, and the likely efficacy, cost and cost-effectiveness of protective measures;
 - (iv) which materially and adversely affects the ability of the affected Party to perform its obligations under this Contract; or enjoy its rights under, and benefits of, this Contract; and
 - (v) which is not substantially attributable to the other Party.
- (b) Force Majeure includes, but is not limited to the exceptional events or circumstances listed below, so long as conditions in Clause 19.1(a) Definition of Force Majeure are satisfied:
 - (i) war (whether declared or not), invasion and armed conflict or act of foreign enemies;
 - (ii) riot, terrorism, revolution, insurrection, or military action;
 - (iii) ionising radiation or contamination by radioactivity, from a source in India or resulting from another Force Majeure event mentioned above excluding circumstances where the source or cause of contamination or radiation is brought or has been brought into or near the Project by the Party claiming Force Majeure or those employed or engaged by such Party;
 - (iv) pandemic and epidemic, including any governmental restrictions or lockdowns imposed in relation thereto; and
 - (v) natural catastrophes such as earthquake, hurricane, typhoon or volcanic activity.
- (c) Notwithstanding any other provision of the Contract, the following events are deemed not to be 'Force Majeure':

- (i) weather conditions which might reasonably have been foreseen by the Party claiming Force Majeure and which were not unusually adverse, or which are within the design limits of the Equipment;
- (ii) strikes or other employee disturbances affecting only the Supplier's or any Sub-supplier's employees;
- (iii) any acts or omissions by the affected Party's suppliers or Sub-suppliers;
- (iv) economic hardship;
- (v) shortages, late delivery or price fluctuations with respect to Supply of Equipment;
- (vi) shortages of manpower; or
- (vii) delays in customs clearance (except to the extent any such delay is itself caused by an event of Force Majeure).

19.2 Notice of Force Majeure

- (a) If a Party is or will be prevented from performing any of its obligations under the Contract by Force Majeure, then it shall give notice to the other Party of the event or circumstances constituting the Force Majeure and shall specify the obligations, the performance of which is or will be prevented. The notice shall be given within five (5) Business Days after the Party became aware, or should have become aware, of the relevant event or circumstance constituting Force Majeure.
- (b) Provided that such notice shall be a pre-condition to such Party's entitlement to claim relief under the Contract, such notice shall include full particulars of the event of Force Majeure, its effects on such Party and the remedial measures proposed. The affected Party shall give the other Party regular (and not less than monthly) reports on the progress of those remedial measures and such other information as the other Party may reasonably request about the Force Majeure event. The affected Party shall give notice to the other Party of:
 - (i) the cessation of the relevant event of Force Majeure; and
 - (ii) the cessation of the effects of such event of Force Majeure on the performance of its rights or obligations under the Contract,as soon as practicable after becoming aware of each of these cessations.
- (c) The Party shall, having given notice, be excused from performance of such obligations for so long as such Force Majeure prevents it from performing them.
- (d) Notwithstanding any other provision of this Clause, Force Majeure shall not apply to obligations of either Party to make payments to the other Party under the Contract.

19.3 Duty to Mitigate Delay

- (a) Each Party shall at all times use all reasonable endeavours to mitigate any delay in the performance of the Contract as a result of Force Majeure.
- (b) A Party shall give notice to the other Party when it ceases to be affected by the Force Majeure.

19.4 Consequences of Force Majeure

If the Supplier is prevented from performing any of its obligations under the Contract by Force Majeure of which notice has been given under Clause 19.2 (Notice of Force Majeure) and the Supply is or will be delayed as a result, the Supplier shall be entitled to an Extension of Time (but not reimbursement of any associated cost) for any such delay under Clause 10.4 (Extension or Acceleration of Scheduled Delivery Date). Each Party shall bear any cost incurred by it as a result of any Force Majeure Event.

19.5 Force Majeure Affecting Sub-supplier

If any Sub-supplier is entitled under any contract or agreement relating to Supply of Equipment to relief from force majeure on terms additional to or broader than those specified in this Clause, such additional or broader force majeure events or circumstances shall not excuse the Supplier's non-performance or entitle him to relief under this Clause.

19.6 Optional Termination, Payment and Release

- (a) If the Supply of substantially all the Equipment is prevented for a continuous period of one hundred and eighty (180) by reason of Force Majeure of which notice has been given under Clause 19.2 (Notice of Force Majeure), then either Party may give to the other Party a notice of termination of the Contract. In this event, the termination shall take effect seven (7) days after the notice is given, and the Supplier shall proceed in accordance with Clause 16.6 (Cessation of Work and Removal of the Supplier's Equipment) and be paid in accordance with sub-clause (b).
- (b) Upon termination, the Purchaser shall only be required to pay to the Supplier:
 - (i) the amounts payable for any Equipment Supplied till the date of termination for which a price is stated in the Contract; and
 - (ii) the cost of Equipment ordered by the Supplier which have been delivered to the Supplier, or of which the Supplier is liable to accept delivery; the Equipment shall become the property of (and be at the risk of) the Purchaser when paid for by the Purchaser, and the Supplier shall place the same at the Purchaser's disposal.

19.7 Release from Performance under the Law

If under the law of the Contract the Purchaser and the Supplier are released from further performance, the sum payable by the Purchaser to the Supplier shall be the same as would have been payable under Clause 19.6 (b), if the Contract had been terminated under that Clause.

20. SUPPLIER'S CLAIMS

20.1 If the Supplier considers itself to be entitled to any Extension of Time in accordance with Clause 10.4 (Extension or Acceleration Scheduled Delivery Date) and/or additional costs (where expressly permitted under this Contract), in connection with the Contract, the Supplier shall give notice to the Purchaser, as soon as practicable, but in any event not later than fourteen (14) days after the Supplier became aware or ought to have become aware, of the event or circumstance, which notice shall, to the extent applicable, include supporting particulars and details of:

- (a) the material circumstances of the event, including the cause or causes;
- (b) the nature and extent of the delay and additional cost caused by the event;
- (c) the corrective action undertaken or to be undertaken;
- (d) the effect on the most recent Purchaser approved Delivery Schedule;
- (e) the period, if any, by which in the Supplier's opinion the applicable Scheduled Delivery Date should be extended.

20.2 If the Supplier fails to give complete notice of a claim in accordance with the requirements of this Clause within such period of fourteen (14) days, the Scheduled Delivery Date shall not be extended, and the Purchaser shall be discharged from all liability in connection with the claim. Otherwise, the following provisions of this Clause shall apply.

20.3 Where such delay event continues for longer than the 14 day period, every 14 days after the date on which notice is given pursuant to Clause 20.1 (or should have been given), Supplier shall give Purchaser's Representative an update of the details required under Clause 20.1.

20.4 Within twenty-eight (28) days after receiving a claim or final claim (as the case may be), the Purchaser shall respond with approval, or with disapproval and detailed comments, after taking due regard of all relevant circumstances. Purchaser may also request any necessary further particulars but shall nevertheless give his response on the principles of the claim within such time. Notwithstanding anything to the contrary, the Supplier shall be entitled to an Extension of Time and/or payment

of any additional amounts for any claim, proportional to the extension of time and/or additional costs granted to the Purchaser for such claim under the EPC Contract.

- 20.5 The Purchaser shall give notice to the Supplier of each agreement or determination, with supporting particulars. Each Party shall give effect to each agreement or determination, unless the Supplier gives notice to the Purchaser of its dissatisfaction with a determination within 14 days following receipt of the same. Either Party may then refer the dispute for resolution in accordance with Clause 21 (Dispute Resolution).

21. DISPUTE RESOLUTION

21.1 Amicable Settlement

Any controversy or claim (Dispute) arising out of or in connection with the validity, application or interpretation of the Contract shall be settled by consultation between the Parties initiated by written notice of the Dispute to the other Party. The Parties shall attempt to settle such Disputes by way of negotiation within thirty (30) days of the notice of any Dispute by any Party to the other Party. In such event, the Parties shall each arrange for an officer or member of management with authority to meet resolve, in good faith, any pending Disputes during such time period.

21.2 Arbitration

- (a) In the event the Parties are unable to resolve their Dispute within the aforementioned period of 30 days, then either Party may refer the Dispute to be finally settled by arbitration in accordance with the Arbitration and Conciliation Act, 1996, as amended from time to time. A sole arbitrator shall be appointed by agreement of the Parties. If the Parties have not agreed on the appointment of a sole arbitrator within 30 days of receipt of a notice of arbitration, then, a tribunal shall be appointed. Each Party shall be entitled to appoint an arbitrator and the two party-appointed arbitrators shall then appoint a third arbitrator. The arbitration shall be conducted in English, and the seat and venue of the arbitration will be Mumbai.
- (b) Subject to Clause 21.2 (a), the courts in Mumbai shall have exclusive jurisdiction over all matters arising out of, related to or connected with the Dispute.
- (c) The Parties shall ensure that any arbitrator appointed to act under this Clause 21.2 (Arbitration) will agree to be bound to certain confidentiality obligations with respect to the terms of the Contract and any information obtained during the course of the arbitration proceedings.

21.3 Continuation of Performance

Performance of the Contract shall continue during any dispute resolution process referred to in this Clause 21.3 (Continuation of Performance) unless the Purchaser orders suspension in accordance with the Contract.

22. REPRESENTATIONS AND WARRANTIES

Each Party hereby represents and warrants to the other Party as follows:

- 22.1 It is a company duly organized, validly existing and in good standing under the Laws of the jurisdiction stated in the Contract and has all requisite power and authority to own and operate its business and properties and to carry on its business as such business is now being conducted and is duly qualified to do business in India and in any other jurisdiction in which its performance of the Contract makes such qualification necessary.
- 22.2 It has full power and authority to execute and deliver the Contract and to perform its obligations hereunder, and the execution, delivery and performance of the Contract by it have been duly authorized by all necessary action on its part. The

Contract has been duly executed and delivered by it and is such Party's legal, valid and binding obligation enforceable in accordance with its terms.

- 22.3 It is not in liquidation or subject to an administration order and no administrator, administrative receiver or receiver has been appointed over the whole or a substantial part of its property, assets or undertaking, and no equivalent or analogous event has occurred.
- 22.4 The execution, delivery and performance of the Contract by it and the consummation of the transactions contemplated hereby do not and will not contravene the certificate of incorporation or by-laws of such Party and do not and will not conflict with or result in a breach of or default under any indenture, mortgage, lease, agreement, instrument, judgment, decree, order or ruling to which such Party is a party or by which it or any of its properties is bound or affected.
- 22.5 The entry into and performance of the Contract by it is in its commercial interest and to its corporate benefit and the competent corporate bodies have assessed and satisfied themselves as to the existence of such corporate benefit.
- 22.6 All governmental or other authorizations, approvals, orders or consents required in connection with the execution, delivery and performance of the Contract by it have been obtained or will be obtained in a timely manner to allow completion of the Supply within the Scheduled Delivery Date.
- 22.7 There is no action, suit or proceeding, at law or in equity, or official investigation before or by any government authority, arbitral tribunal or other body pending or, to the best of its knowledge, threatened against or affecting it or any of its properties, rights or assets, which could reasonably be expected to result in a material adverse effect on its ability to perform its obligations under the Contract or on the validity or enforceability of the Contract.
- 22.8 It has not contravened any applicable Laws, which contravention would have an adverse effect on the Project, or any license, registration, permission, consent or approval held by it in relation to the Project. Further, it has not violated any intellectual property right related laws, rules and regulations, nor does any infringement of any intellectual property rights of any third party exists.
- 22.9 Each representation and warranty given by the Supplier in this Clause 22 and elsewhere in the Contract shall be deemed repeated on each date on which it applies for payments as per the Payment Schedule.